

TotalEnergies Marketing Kenya PLC

SUMMARY OF AUDITED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021

STATEMENT OF FINANCIAL POSITION

AS AT	31 Dec 2021 KShs'000	31 Dec 2020 KShs'000
ASSETS		
Non-current assets		
Property, plant and equipment and intangible assets	11,814,141	11,253,669
Right-of-use assets	1,726,250	1,672,470
Goodwill	416,679	416,679
Deferred tax asset	393,864	308,343
Total non-current assets	14,350,934	13,651,161
Current assets		
Inventories	7,747,934	6,436,314
Trade and other receivables	12,583,149	11,833,785
Amounts due from related companies	2,223,257	1,449,598
Cash and cash equivalents	10,100,456	9,591,950
Total current assets	32,654,796	29,311,647
Non-current assets classified as held for sale	24,364	24,364
TOTAL ASSETS	47,030,094	42,987,172

EQUITY AND LIABILITIES

Equity		
Share capital	9,974,771	9,974,771
Share premium	1,967,520	1,967,520
Retained earnings	16,568,532	14,918,006
Total equity	28,510,823	26,860,297
Non-current liabilities		
Lease liability	922,036	848,908
Trade and other payables	1,317,769	990,838
Total non-current liabilities	2,239,805	1,839,746
Current liabilities		
Lease liability	249,435	311,096
Tax payable	229,735	36,748
Trade and other payables	13,010,452	11,939,415
Due to holding company	2,536,331	1,725,080
Due to related companies	153,513	274,790
Total current liabilities	16,179,466	14,287,129
TOTAL EQUITY AND LIABILITIES	47,030,094	42,987,172

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE YEAR ENDED	31 Dec 2021 KShs'000	31 Dec 2020 KShs'000
Gross sales	110,161,215	97,351,821
Indirect taxes and duties	(35,450,751)	(31,920,643)
Net sales	74,710,464	65,431,178
Cost of sales	(65,909,440)	(56,374,062)
Gross profit	8,801,024	9,057,116
Other income	1,806,300	1,902,801
Operating expenses	(6,518,951)	(6,179,802)
Net allowance for expected credit losses	26,989	62,050
Finance income	216,862	243,660
Finance costs	(283,265)	(157,482)
Net foreign exchange losses	(56,040)	(143,769)
Profit before tax	3,992,919	4,784,574
Tax charge	(1,254,011)	(1,488,042)
Profit for the year	2,738,908	3,296,532
Other comprehensive income, net of tax	-	-
Total comprehensive income for the year	2,738,908	3,296,532
Earnings per share (basic and diluted) (KShs)	4.35	5.24

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2021	Share Capital KShs'000	Share Premium KShs'000	Retained Earnings KShs'000	Total Equity KShs'000
As at 1 January 2020	9,974,771	1,967,520	12,439,879	24,382,170
Dividends declared - 2019	-	-	(818,405)	(818,405)
Profit for the year	-	-	3,296,532	3,296,532
Other comprehensive income	-	-	-	-
Total comprehensive income	-	-	3,296,532	3,296,532
As at 31 December 2020	9,974,771	1,967,520	14,918,006	26,860,297
As at 1 January 2021	9,974,771	1,967,520	14,918,006	26,860,297
Dividends declared - 2020	-	-	(988,382)	(988,382)
Profit for the year	-	-	2,738,908	2,738,908
Other comprehensive income	-	-	-	-
Total comprehensive income	-	-	2,738,908	2,738,908
As at 31 December 2021	9,974,771	1,967,520	16,668,532	28,510,823

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED	31 Dec 2021 KShs'000	31 Dec 2020 KShs'000
CASH FLOWS FROM OPERATING ACTIVITIES		
Operating profit before working capital changes	5,699,241	6,317,283
(Increase)/ decrease in inventories	(1,342,777)	291,405
Increase in trade and other receivables	(1,499,540)	(400,507)
Increase in trade and other payables	1,906,945	3,906,522
Legal provisions paid	-	(40,500)
Working capital changes	(935,372)	3,756,920
Cash generated from operations	4,763,869	10,074,203
Tax paid	(1,146,544)	(1,347,933)
Net cash flows from operating activities	3,617,325	8,726,270
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property, plant and equipment and intangible assets	(2,187,964)	(1,720,276)
Proceeds on disposal of property, plant and equipment and right-of-use assets	429,968	5,300
Interest received	216,862	243,660
Net cash used in investing activities	(1,541,134)	(1,471,316)
CASH FLOWS FROM FINANCING ACTIVITIES		
Interest expense on borrowings	(195,062)	(57,297)
Lease liability payments - principal	(277,643)	(203,917)
Lease liability payments - interest	(88,203)	(75,817)
Dividends paid	(988,382)	(818,405)
Net cash used in financing activities	(1,549,290)	(1,155,436)
Net increase in cash and cash equivalents	526,901	6,099,518
Effect of exchange rate changes on cash and cash equivalents	(18,395)	(40,529)
Cash and cash equivalents as at 1 January	9,591,950	3,532,961
Cash and cash equivalents as at 31 December	10,100,456	9,591,950



The above statement of financial position, statement of profit or loss and other comprehensive income, statement of cash flows, and statement of changes in equity are extracts from the Company's 2021 financial statements as audited by Ernst & Young LLP.

COMMENTARY

The Kenyan economy experienced recovery in 2021 compared to previous year, which was adversely impacted by the global COVID-19 pandemic. The business environment was positively impacted by easing of the pandemic-related restrictions that had been instituted by the Kenya Government to mitigate the spread of the disease. During the year, international oil prices rallied upwards supported by increased energy demand linked to global economic rebound after the 2020 recession. The rise in global oil prices increased fuel prices in the country as well as our working capital requirements.

The Company's performance remained resilient with positive profit after tax of KShs 2,739 million (2020: KShs 3,297 million) in the challenging environment of sharp increase in fuel prices.

The Company's gross margins decreased to KShs 8,801 million (2020: KShs 9,057 million) majorly impacted by lag in price adjustment arising from sharp increase in fuel prices.

Other income decreased to KShs 1,806 million (2020: KShs 1,903 million) in the absence of a non-recurring sundry income from VAT tax relief realized in 2020. However, revenues from diversified investments in Shops, Food and Services (SFS) and income from partnerships with third parties increased in the year compared to 2020.

The increase in operating expenses is majorly attributable to rebranding costs linked to the new brand name TotalEnergies and increased business activities compared to 2020. The increase in working capital requirements emanating from increased oil prices led to a net finance loss of KShs 66 million (2020: Net finance income of KShs 86 million).

The foreign exchange loss decreased substantially to KShs 56 million (2020: KShs 144 million) thanks to the proactive management of transactions in foreign currency and stability of the Kenyan shilling against the US dollar in the year.

The Company's statement of financial position remained strong with total assets of KShs 47.03 billion (2020: KShs 42.99 billion). The Company invested KShs 2,188 million (2020: KShs 1,720 million) in line with the business strategy to enhance safety standards in our operations and continue to build a profitable and sustainable multi-energy company.

FUTURE OUTLOOK

The business environment remains challenging due to uncertainty of global fuel prices and inherent risks in commodity demand and supply. The Company's priority is to focus on delivery; delivering our quality service to our customers, delivering on our marketing margins, and delivering our expansion in profitable and sustainable channels. All these are key for the increase in value and shareholder return while maintaining a strong balance sheet. The Company will continue to focus on safety, operational excellence, profitable growth, and positive cashflow generation.

PROPOSED DIVIDENDS

The Directors recommend payment of a first and final dividend of KShs 1.31 per share for the year ended 31 December 2021 (2020: KShs 1.57) payable on or around 30 July 2022, subject to shareholders' approval at the 68th Annual General Meeting.

ANNUAL GENERAL MEETING

The 68th Annual General Meeting of TotalEnergies Marketing Kenya Plc will be held via electronic means on 24 June 2022.

CLOSURE OF THE SHARE REGISTER

Subject to shareholders' approval at the Annual General Meeting, the share register will be closed for one day at the close of business on 24 June 2022 for the purpose of dividend calculation.

By order of the Board

Eric FANCHINI
Managing Director
March 31, 2022

